

French economy**French premier Lecornu proposes big spending cuts to reduce deficit**

France's minority government heads for a showdown with parliament over the country's budget



French Prime Minister Sébastien Lecornu called the draft budget an 'aggressive proposal' © AFP via Getty Images

Leila Abboud in Paris

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France's minority government has said it aims to reduce the country's deficit next year by proposing a budget that includes a €54bn savings drive, paving the way for a showdown with parliament that could lead to its collapse.

French Prime Minister Sébastien Lecornu said on Thursday that he will submit a draft budget to lawmakers that would lower the deficit to 5 per cent of GDP in 2027, notably through big cuts to spending on pensions and reductions in the expenditure of government ministries, excluding defence.

Weaker than expected growth and rising interest costs have stymied government efforts to reduce the deficit this year from 5.1 per cent at the end of 2025, leaving France with an even deeper fiscal hole. Lecornu wants to keep the deficit below 5.5 per cent by the end of this year.

The draft budget “is an aggressive proposal for cutting public spending in a country that is overly dependent on it”, Lecornu said in an interview with Le Figaro. “It is a political risk. I am well aware of that.”

With presidential elections looming in April, Lecornu is under pressure to improve France’s degraded public finances as turmoil intensifies on global bond markets.

Higher interest rates are expected to saddle the government with an interest bill this year [of €65bn](#), 25 per cent higher than in 2025 and bigger than the education or defence budgets. Lecornu predicted borrowing costs could rise by another €10bn next year.

[The spread](#) between France and Germany’s 10-year bonds — a measure closely watched by investors — has increased to 96 basis points, its highest level since 2012 during the Eurozone financial crisis.

France’s economy is stagnating, with the government expecting GDP growth of only 0.5 per cent this year — half of what it had initially predicted.

Voters are increasingly restive about the cost of living, making any cuts to welfare benefits or tax rises unpopular.

In recent days, fishermen have blocked the port of Nice to protest about rising energy prices, raising the spectre of a return of the “gilets jaunes” (“yellow vests”) movement.

Lecornu said the proposed budget would include €6bn in savings from the pensions system — either by freezing increases to benefits or trimming tax deductions for retirees — that will draw the ire of opposition parties.

Far-right leader Marine Le Pen has called both measures unacceptable and the votes of her Rassemblement National MPs could determine whether the government is toppled in a no-confidence vote over the budget.

Leftwing parties have already said they would back a no-confidence vote if the government pressed ahead with cuts that would affect retirees.

Lecornu urged lawmakers to act responsibly. “I do not think anyone will be able to escape reality for very long . . . The public interest requires France to have a budget,” he said. “This responsibility is incumbent upon political parties and presidential candidates alike.”

A tax surcharge on large companies that was introduced in 2025 with the promise that it would only last a year will be extended, although its impact will be eased, Lecornu said.

Initially paid by companies generating more than €1bn in annual revenue in France, the tax brought in €8bn to government coffers last year, but would bring in €5bn under the new approach proposed in the forthcoming budget.

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